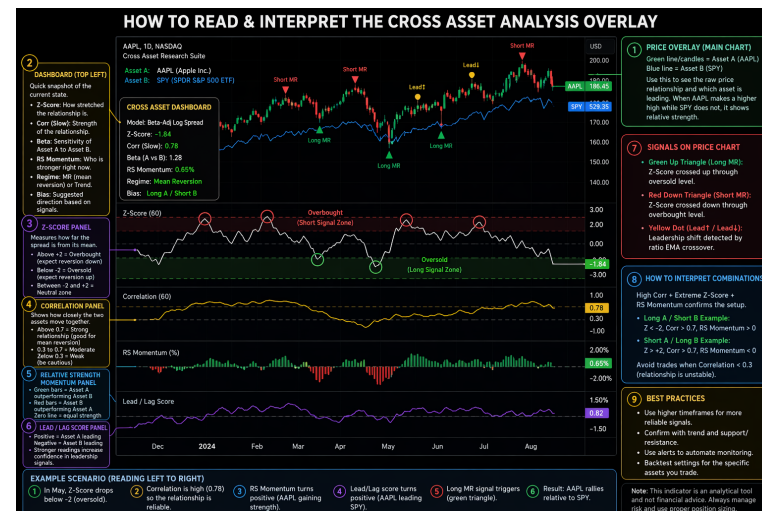


Cross Asset Overlay Interpretation Tutorial

A printable guide to reading the infographic, understanding the overlay, and turning the data into decisions — written for beginners, intermediate traders, and advanced users.



Beginner

Intermediate

Expert

What this tutorial teaches

How to read each numbered panel in the photo, how the panels work together, and how to move from simple observation to a structured trading workflow.

How to use the photo

Keep the infographic open beside your chart. This PDF follows the same numbering system, so you can move between the picture and the explanation without getting lost.

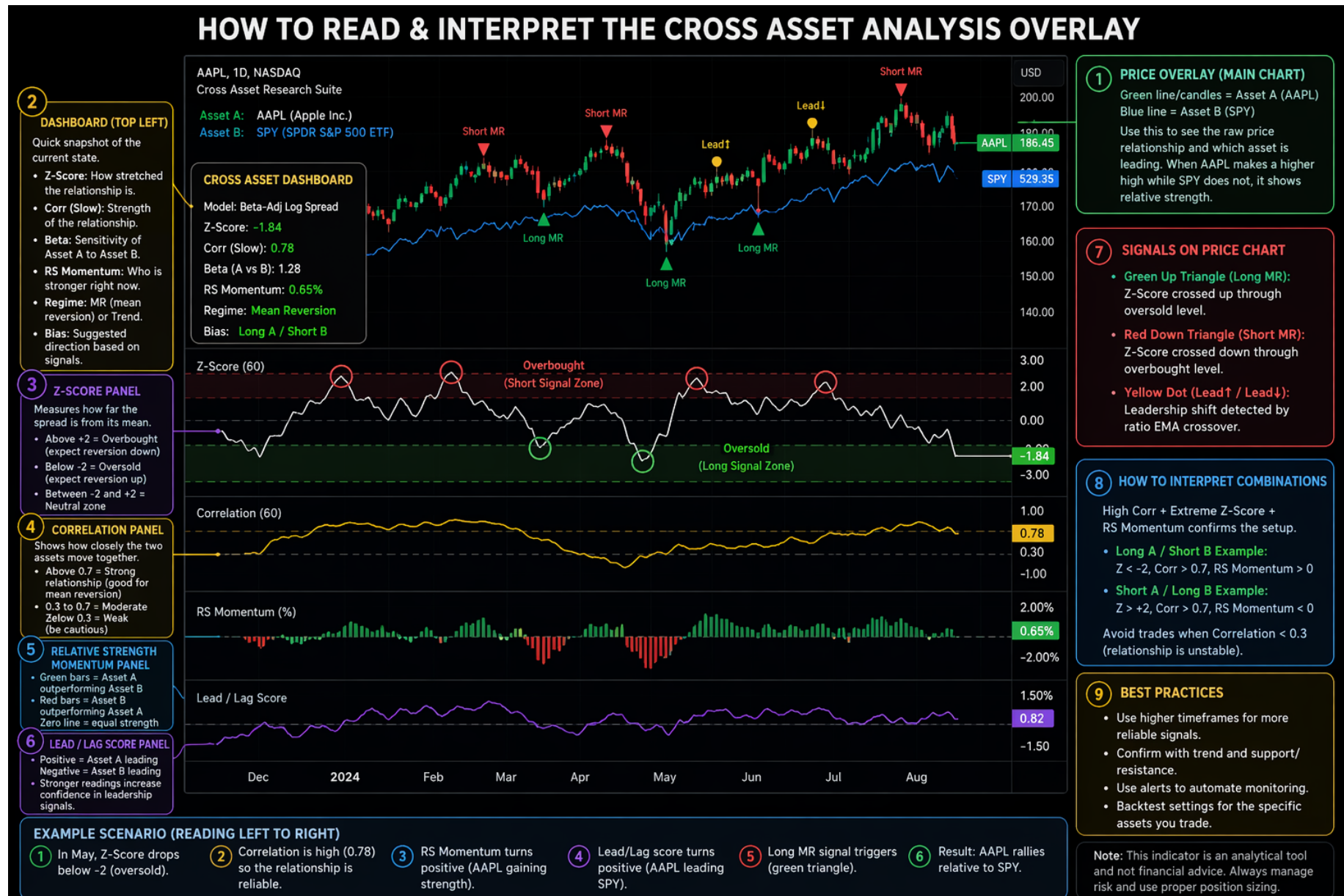
What changes by skill level

Beginners focus on what each panel means, intermediate traders focus on confluence and execution, and experts focus on regime filters, model choice, and failure conditions.

The core idea of the overlay is simple: compare Asset A to Asset B, measure whether the relationship is stretched or stable, and then decide whether the opportunity is mean reversion, leadership, or no trade at all.

Tip: The fastest way to read the overlay is to ask three questions in order — **Is the relationship stable? Is the spread stretched? Which asset is leading right now?**

Figure 1 — Master view of the cross asset analysis overlay



How to read the photo without guessing

Best reading order

Start with **2 Dashboard** for the snapshot, confirm the relationship with **4 Correlation**, measure stretch with **3 Z-Score**, then use **5 RS Momentum** and **6 Lead/Lag** to see who is gaining control. Finish with **7 Signals** and **1 Price Overlay** for timing.

What each panel answers

Every panel answers a different question: stability, stretch, direction, leadership, or execution. Your job is not to stare at all of them at once. Your job is to ask the right question, then read the matching panel.

#	Panel	What it tells you	Question to ask
1	Price Overlay	Shows how Asset A and Asset B are behaving on the main chart. Use it to see relative performance and to anchor signal markers to real price action.	Which asset is winning on the chart right now?
2	Dashboard	A quick summary of model, Z-score, correlation, beta, RS momentum, regime, and suggested bias.	What is the current state of the pair?
3	Z-Score Panel	Measures how far the relationship is from its recent mean. Large absolute values mean the spread is stretched.	Is the pair stretched enough to care?
4	Correlation Panel	Shows whether the two assets are still moving together strongly enough for pair logic to make sense.	Is the relationship stable or breaking down?
5	RS Momentum	Measures whether Asset A is accelerating or decelerating versus Asset B.	Who is gaining strength right now?
6	Lead/Lag Score	A directional hint about which asset tends to lead turns in the relationship.	Who is driving the move?
7	Signals on Price Chart	Green triangles, red triangles, and yellow dots mark mean reversion or leadership events where execution interest increases.	Do I have a timing cue yet?
8	Combination Box	Demonstrates how multiple panels line up into a trade idea, not just a single isolated signal.	Do the panels agree?
9	Best Practices Box	Execution reminders: higher timeframes, confirmation, alerts, and backtesting.	How do I reduce bad decisions?

Beginner tutorial — read the overlay in under a minute

As a beginner, your goal is not to predict every move. Your goal is to decide whether the overlay is saying **mean reversion**, **relative strength leadership**, or **no trade**. Use the five-step checklist below every time.

- 1 Check correlation first**
 If the correlation panel is strong, the relationship is more stable. In the photo, **0.78** means the two assets are moving together well enough for the rest of the overlay to matter.
- 2 Check the Z-score next**
 The Z-score tells you whether the spread is stretched. Around **+2** means overbought or stretched high; around **-2** means oversold or stretched low. In the photo, **-1.84** means the spread is below average but not at a full washout extreme.
- 3 Look at RS momentum**
 Positive RS momentum means Asset A is improving versus Asset B. Negative RS momentum means Asset B is improving. In the photo, **+0.65%** says Asset A is gaining relative strength.
- 4 Use lead/lag as a tiebreaker**
 A positive lead/lag score suggests Asset A is driving turns. A negative score suggests Asset B is driving. This helps you decide whether a move is likely to continue or reverse.
- 5 Only then use the chart markers**
 Green triangle = long mean reversion interest; red triangle = short mean reversion interest; yellow dot = leadership shift. Signals mean more when they agree with the dashboard, correlation, and momentum.

Plain-English translation of the current photo

The pair is in a **mean reversion** regime, correlation is strong, Asset A is showing improving relative strength, and the dashboard bias is **Long A / Short B**. That does **not** mean buy immediately. It means the setup is leaning in Asset A's favor, and you now wait for price action or a signal marker to confirm timing.

Beginner rule of thumb

Stable relationship + stretched spread + improving momentum + signal marker is the simplest high-quality reading. If one of those is missing, reduce confidence. If correlation is weak, step aside.

When to avoid a beginner trade: the Z-score is near zero, the correlation panel is weak, the dashboard bias conflicts with RS momentum, or you are reacting to a signal marker without looking at the context panels first.

Beginner walk-through — read the example scenario left to right

1

Z-score falls below the lower band

This tells you the spread is stretched downward. On its own, it is only a condition, not a trade.

2

Correlation stays high

This tells you the relationship is still intact. That makes the stretch more believable as a mean reversion candidate.

3

RS momentum turns positive

Asset A begins to outperform Asset B. Momentum is now supporting the catch-up idea.

4

Lead/lag turns positive

Leadership shifts toward Asset A. That gives more confidence that Asset A can drive the next leg.

5

Long MR marker appears

Now the chart gives you a timing cue. This is where many traders move from watchlist mode to execution mode.

6

Price overlay confirms

Asset A begins to climb faster than Asset B. The overlay is now telling a consistent story across panels.

What a beginner should do here

Mark the setup as **candidate, not certainty**. Wait for your normal entry trigger, such as a reclaim of a level, a close back above a moving average, or a strong candle after the signal marker.

What a beginner should not do

Do not short the strongest-looking candle or buy simply because the Z-score is low. The overlay helps you organize information. It does not remove the need for entries, exits, and risk limits.

Three phrases to remember

"Correlation tells me if the relationship matters."

"Z-score tells me if the relationship is stretched."

"Momentum and leadership tell me who has control."

Beginner summary: if the panels line up, the overlay is helping you find a **higher-quality context**. If they do not line up, the best trade may be patience.

Intermediate tutorial — turn the panels into a confluence framework

Intermediate traders should move beyond single-panel reading. Your job is to judge whether the setup is a real mean reversion opportunity, a leadership continuation, or a broken relationship that should be ignored.

Condition	Interpretation	Action bias
High corr + extreme Z-score	The relationship is intact and the spread is stretched. This is the classic mean reversion setup.	Watch for MR entries and chart confirmation.
Extreme Z-score + weak corr	The spread is stretched, but the relationship may be breaking down. The move can keep extending.	Reduce size or skip the trade.
Positive RS + positive lead/lag	Asset A is both gaining strength and helping drive turns.	Favor Asset A leadership or Long A / Short B logic.
Negative RS + negative lead/lag	Asset B is gaining strength and controlling turns.	Favor Asset B leadership or Long B / Short A logic.
Signal marker without panel agreement	The price chart marker is isolated rather than supported by the rest of the overlay.	Treat as low conviction until other panels agree.

Intermediate workflow

- 1) Screen correlation.
- 2) Rank the stretch with Z-score.
- 3) Check whether RS momentum and lead/lag agree with the direction you want.
- 4) Use the signal marker as a timing event, not as a reason by itself.
- 5) Invalidate the setup quickly if correlation decays or price rejects the thesis.

How to use beta

Beta tells you how sensitive Asset A is to Asset B inside the relationship. In the photo, a beta above 1 means Asset A tends to move more aggressively than Asset B. That can affect expectations for speed, sizing, and how quickly you take profits.

Intermediate takeaway: you are no longer asking, “Is there a signal?” You are asking, “How many panels support the same direction, and what would prove me wrong quickly?”

Expert tutorial — read the overlay as a regime and model problem

Experts treat the overlay as a relative-value dashboard, not a simple trigger machine. The same Z-score can mean two very different things depending on model choice, event risk, and whether correlation is stable or decaying.

Model awareness

The photo uses a **beta-adjusted log spread**. That means the Z-score is measuring stretch after adjusting Asset A for its sensitivity to Asset B. Experts should know whether they are reading a raw ratio, a log ratio, or a beta-adjusted spread, because “cheap” and “rich” depend on the model.

Regime filters

Before acting on mean reversion, check whether earnings, macro data, roll dates, or sector news can structurally break the relationship. High headline risk can turn a good-looking stretch into a regime change.

Execution logic

Experts often separate **qualification** from **entry**. The overlay qualifies the setup; execution still comes from liquidity, volatility, support/resistance, or order-flow conditions on the trading chart.

1 Classify the regime

Stable correlation and contained volatility support pair logic. Falling correlation and event-driven repricing argue for caution or a different model.

2 Read divergence quality

If Z-score is extreme but RS momentum and lead/lag are already reversing, the move may be late-stage and ripe for mean reversion. If Z-score is extreme and momentum is accelerating against you, it may be a breakout rather than a revert.

3 Use multi-timeframe structure

Experts often define the relationship on a higher timeframe and trigger entries on a lower execution timeframe. The overlay gives context; the execution chart gives location and timing.

4 Track failure fast

A broken relationship usually announces itself through collapsing correlation, repeated failed reversions, or fundamental news that changes the economic linkage between A and B.

5 Journal the panel mix

Save screenshots and log which panel combinations worked best in your market. Over time you learn whether your edge comes from mean reversion, leadership, or regime transitions.

Expert takeaway: the overlay is strongest when used as a decision framework — regime filter, stretch measure, leadership check, and timing aid — rather than as a standalone buy or sell button.

Quick reference — glossary, reading rules, and print-and-keep checklist

Term	What it means in this overlay	
Z-score	How far the spread is from its recent mean. Large positive = stretched high; negative = stretched low.	Print-and-keep checklist • Start with correlation before you care about stretch. • Treat the Z-score as context, not as an automatic entry. • Let RS momentum and lead/lag tell you who has control. • Require the chart signal to agree with the panel story. • If the panels conflict, reduce size or wait. • If correlation breaks down, reassess the entire thesis. • Review screenshots after the session to improve your reading.
Correlation	How tightly Asset A and Asset B are moving together. Stronger logic is more trustworthy.	
Beta	How sensitive Asset A tends to be relative to Asset B inside the spread.	
RS Momentum	Who is gaining relative strength right now. Positive favors Asset A; negative favors Asset B.	One-line reading rule by skill level Beginner: stable relationship + stretch + momentum + signal. Intermediate: rate confluence, define invalidation, and wait for chart location. Expert: match the model to the regime and separate qualification from execution.
Lead/Lag	A hint about which asset is driving turns or transitions.	
MR	Mean reversion — the idea that a stretched relationship may not last.	
Bias	The overlay's current directional lean after combining the panels.	

Final reminder: the overlay is an analytical tool. It helps you organize cross-asset information, but it still needs confirmation, position sizing, and trade management from your own process.